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	FINALTERM EXAMINATION FALL 2007 MGT101 - FINANCIAL ACCOUNTING (Session - 3)	Marks: 60 Time: 150min

StudentID/LoginID: _____

Student Name: _____

Center Name/Code: _____

Exam Date: Friday, March 07, 2008

Instructions

Please read the following instructions carefully before attempting any question:

- Write your student ID, Name and Centre Name /Code on the question paper as well as on answer sheet; Failure to do so will result in paper cancellation.
- All questions are compulsory.
- This exam consists of **10 Multiple Choice Questions** carrying **1** mark each, **5 True/False** carrying **1** mark each, **1 Short Question** carrying **5** marks, and **3 Comprehensive Numerical Questions** carrying **10, 15,** and **15** marks respectively.
- For each MCQ and T/F statement, read the choices available carefully and **"Encircle" (don't tick mark)** one which you consider is the most suitable answer. Zero marks will be given if more than one option is "**Encircled".**
- Attempt all **MCQs, True/False** on the question paper**, no credit will be given to the objective questions (MCQs, True/False) attempted on the answer sheet.**
- Cutting and overwriting in objective type questions **(MCQs, True/False statements)** is not allowed; if done so, that particular question will be marked Zero.
- Remember not to spend too much time on Objective type questions. Since all MCQs and T/F questions carry equal marks, it is important to manage your time and response to test questions effectively.
- Do not ask any questions about the contents of this examination from anyone.
- If you believe that some essential piece of information is missing, make an appropriate assumption and use it to solve the problem.
- While solving your descriptive part on the answer sheet, question numbers must be written in accordance with the number specified for each question in the question paper to avoid any inconvenience.
- Students are advised to solve paper in blue and black ink and do not use red, green ink and led pencil.
- Writing irrelevant/immoral material will be severely penalized.
- This examination is closed book, closed notes, closed neighbors.
- You may wish to pace yourself with your own watch but the Supervisor will be the official timekeeper of the test.
- Use of **mobile phones** is strictly prohibited; switch it off if it is in your custody.
- Failure to comply with the Supervisor's directions will result in your exam paper being cancelled.

Please comply with supervisor's directions to avoid any unpleasant event.

- Non-compliance of any of the instructions will be dealt severely.

For Teacher's use only

Question	1	2	3	4	5	6	7	8	9	10	Total
Marks	11	12	13	14	15	16	17	18	19		
Question Marks											
Question Marks											

Question No: 1 (Marks: 1) - Please choose one

Which one of the following assets could be described as a current asset?

► Stock of goods for resale

► Machinery to manufacture goods for resale

► Buildings to house the machinery

► Land on which the buildings stand

Question No: 2 (Marks: 1) - Please choose one

Operating Profit is equal to:

► Sales - Gross Profit – Cost of goods sold – Operating expenses

► Sales – Cost of goods sold – Operating expenses

► Sales - Gross Profit

► None of the given options

Question No: 3 (Marks: 1) - Please choose one

The accounting equation represents:

► Resources in the business are equal to resources supplied by the owner and outsiders

► Resources are allocated in the business on cost price

► Owners give money for the business

► Resources in the business are not equal to resources supplied by the owner and outsiders

Question No: 4 (Marks: 1) - Please choose one

Credit signifies:

- ► Increase in asset account
- ► Increase in liability account
- ► Decrease in capital account
- ► None of the given options

Question No: 5 (Marks: 1) - Please choose one

A business owned and run by **one** person is called:

- ► Sole Proprietorship
- ► Partnership
- ► Limited Company
- ► None of the given options

Question No: 6 (Marks: 1) - Please choose one

Any expenditure that benefits the business for several accounting years is regarded as:

- ► Capital expenditure
- ► Revenue expenditure
- ► Revenue receipt
- ► None of the given options

Question No: 7 (Marks: 1) - Please choose one

Which of the following option is true?

- ► Increase in expense is Debit
- ► Increase in asset is Debit
- ► Increase in income is credit
- ► All of the given options

Question No: 8 (Marks: 1) - Please choose one

The accounting equation is based on:

- ► Dual aspect concept
- ► Going concern concept
- ► Business entity concept
- ► None of the given options

Question No: 9 (Marks: 1) - Please choose one

The discount allowed by manufacturer or wholesaler at the time of selling goods to retailer as a deduction from the listed-price or catalogue price, is called as:

- ► Trade discount
- ► Cash discount
- ► Commission
- ► None of the given options

Question No: 10 (Marks: 1) - Please choose one

If the original cost of an asset is Rs. 2,000 then the written down value of asset after two years by using the diminishing balance method at the rate of 10% p.a. will be:

- ► Rs. 1,600
- ► Rs. 1,620
- ► Rs. 380
- ► None of the given options

Question No: 11 (Marks: 1) - Please choose one

Sales = Cost of goods sold + Gross profit.

- ► True
- ► False

Question No: 12 (Marks: 1) - Please choose one

Balance Sheet discloses the financial position of the business.

► True

► False

Question No: 13 (Marks: 1) - Please choose one

Budget is an Organization's plan of future period expressed in money terms.

► True

► False

Question No: 14 (Marks: 1) - Please choose one

Cash Accounting is the accounting system in which events are recorded as and when they occur.

► True

► False

Question No: 15 (Marks: 1) - Please choose one

In double entry system of book keeping, every business transaction affects the same side of the same account.

► True

► False

Question No: 16 (Marks: 5)

If:

- Original cost of an asset is Rs. 60,000
- Scrape value is Rs. 10,000
- Estimated useful life of an asset is 5 years

Then:

Calculate the annual amount of depreciation using straight line method.

Question No: 17 (Marks: 10)

The following errors have been discovered in the books of a business concern:

1. Wage of Rs. 500 paid for the installation of plant debited to Wages Account.
2. Purchases of Office Equipment Rs. 2,000 were recorded as regular purchases of business.
3. Credit sale of Rs. 600 to Kareem was wrongly debited to Kamran.

4. Rs. 200 drawn by the proprietor was treated as Trade Expenses.
5. Rs. 300 received as a Commission was wrongly credited to Sales Account.

Required:

Pass the rectifying entries only.

Question No: 18 (Marks: 15)

The Balance Sheets of the Rohr Company at the end of 2006 and 2007 are as follow:

Particulars	**2006**	**2007**
Assets	**Rs.**	**Rs.**
Cash	20,000	15,000
Accounts receivable (Net)	45,000	50,000
Merchandise Inventory	40,000	65,000
Prepaid expenses	10,000	5,000
Building and equipment	70,000	85,000
Allowance for deprecation---building and equipment	(7,500)	(17,500)
Land	45,000	80,000
	222,500	**282,500**
Liabilities & Capital	**Rs.**	**Rs.**
Accounts payable	40,000	50,000
Accrued expenses	12,500	10,000
Notes payable---bank	30,000	
Mortgage payable		30,000
Capital stock, Rs.10 par	150,000	185,000
Retain earnings (deficit)	(10,000)	7,500
	222,500	**282,500**

Land was acquired for Rs. 35,000 in exchange for capital stock, par Rs. 35,000, during the year; equipment of Rs. 15,000 was acquired for cash. Cash dividends of Rs. 10,000 were charged to retained earnings during the year; the transfer of net income (Rs. 27,500) to retained earnings was the only other entry in this account.

Required:

Prepare a statement of cash flow.

Question No: 19 (Marks: 15)

The following Trial Balance was extracted from the books of Naeem & Sons on 31st December, 2007. You are required to prepare an Income Statement / Profit and Loss Account for the year ended on 31st December, 2007 and a Balance Sheet as at that date:

Particulars	**Debit**	**Credit**
	Rs.	**Rs.**
Cash	5,000	
Accounts Receivable	9,000	

Merchandise Inventory on 1.1.2007	6,000	
Plant and Machinery	24,000	
Land and Building	82,000	
Furniture and Fixtures	2,600	
Capital		136,000
Accounts Payable		3800
Purchases	60,000	
Purchases returns and allowances		2,800
Sales		70,000
Sales returns and allowances	4,600	
Insurance Prepaid	3,400	
Advertisement expenses	4,000	
Salaries expenses	12,000	
Total	**212,600**	**212,600**

ADDIONAL INFORMATION:

- Prepaid insurance on 31st December, 2007 is Rs. 1,400
- Outstanding salaries Rs. 1,000
- Depreciation on Plant and Machinery @ 10% p.a.
- Merchandise inventory on 31st December, 2007 was valued at Rs. 6,000